

# Lecture 15 (2026-07-26)

## Quick Summary

---

- The session covers two main topics: Organizational Culture and Change Management.
- It explores the specific characteristics of organizational culture, the distinction between tangible and invisible cultural components, the methods used to build culture (founders, artifacts, rituals, symbols, etc.), and the criteria for identifying strong versus weak cultures.
- The final segment introduces Change Management, highlighting it as a necessary response to constant fluctuations in technology, personnel, structure, and branding. It further details types of change, reasons for resistance, and management models (specifically Kurt Lewin's) tailored to different organizational environments.
- **Added:** The segment also introduces **Action Research** as a data-driven change management strategy, **Organizational Development (OD)** techniques for improving interpersonal relationships, and the **7S Framework** (McKinsey) for holistic organizational change. It concludes by outlining variables that facilitate innovation and ensure an organization becomes a "learning organization."

## Key Definitions

---

### Organizend Culture Learning Objectives:

1. Define organizational culture and describe its common characteristics/dimensions.
  2. Identify the factors that create and sustain an organization's culture.
  3. Show how culture is transmitted to employees.
- **Organizational Culture:** A system of shared values, beliefs, and common behaviors. It is defined by how employees in a company actually behave in a given situation (e.g., responding to a problem, a change in leadership, or a new challenge) rather than just how they are told to think.
  - **Culture as a USP (Unique Selling Point):** A company's culture is what distinguishes it from other organizations; it is the primary differentiator from other brands and is distinct from factors like compensation or brand name.
  - **Celebration and Tolerance:** Culture defines what is celebrated in a company (e.g., diversity, inclusion, harmony, work-life balance, employee well-being) and what is not tolerated (e.g., honesty in sales, product quality compromises).
  - **Intuit Case (Example of what is celebrated):** A "Great Place to Work" example where the culture is defined by tangible gestures, such as the CEO providing a handwritten thank-you note to any employee for outstanding contributions, regardless of their rank in the organization.
  - **Facebook Case (Example of mission-driven culture):** A culture defined by a specific "thumbprint" or mission (e.g., "make the world more open and connected") that drives employee passion and focus.

### Characteristics of Organizational Culture:

- **Adaptability:** Innovation and the ability to be flexible enough to accommodate client requirements.
- **Detail Orientation:** Precision and attention to detail regarding what customers or employees want.
- **Result/Outcome Orientation:** Focus on the results rather than the processes used (e.g., some cultures permit flexibility in methods as long as the end goal is achieved, while others demand strict adherence to SOPs).
- **People Orientation:** The empathy and consideration of management's decisions toward the employees.
- **Collaboration/Team Orientation:** Building and valuing the team over the individual.
- **Integrity:** The extent to which the organization takes ethical standards seriously.

### Tangible vs. Invisible Factors:

- **Tangible:** Visible elements such as dress codes (e.g., strict for hospitals/military vs. non-existent for tech startups), amenities, benefits, and office environment.
- **Invisible:** Elements that are not visible to the naked eye but are felt or observed over time, such as employee safety, trust, core values, openness, and internal narratives.

#### **Cultural Building Mechanisms:**

- **Founders:** The ultimate source of culture; vision is implanted by founders.
- **Artifacts & Rituals:** Concrete behaviors like Amazon's "no PowerPoint" rule (requiring "6-pager" documents) to ensure conciseness.
- **Norms & Values:** Standard practices (e.g., an ombudsman for reporting issues).
- **Socialization:** The process of training, coaching, and orientation to help new hires adapt to the culture.
- **Symbols:** Physical indicators or gestures (e.g., infrastructure for the physically disabled or diversity in hiring).
- **Language:** Specific protocols for communication in emails, casual conversation, and client interactions.
- **Sense-making:** The role of culture in helping employees interpret, make sense of, and react to events or circumstances (especially during crisis).
- **Control Mechanism:** The function of culture as a stabilizing force that guides employee behavior during periods of uncertainty or change.

#### **Ethical Integration Pillars:**

- **Role model:** Leaders must personally embody the ethical values.
- **Communicate expectations:** Clearly state what ethics mean to the organization.
- **Provide training:** Formalized method for conveying ethical standards.
- **Reward/Punish:** Consistent application of rewards for ethical acts and punishments for unethical ones to reinforce what is "not tolerated."
- **Protective Mechanisms:** Providing safety for whistleblowers to ensure a clear message is sent to the rest of the workforce regarding acceptable conduct.
- **Change Catalysts:** Individuals (either internal employees or external consultants) who are selected and "planted" within the organization to act as champions for change. They are chosen because they are convinced of the change and possess strong negotiation, communication, and influence skills to move others from resistance to acceptance.

#### **Types of Organizational Change:**

- **STRATEGIC CHANGE:** Includes changes to the business's policies, structure, or processes.
- **PEOPLE-CENTRIC CHANGE:** Includes instituting new parental leave policies or bringing in new hires.
- **STRUCTURAL CHANGE:** Includes shifts in management hierarchy, teams, responsibilities of different departments, chain of command, job structure.
- **TECHNOLOGICAL CHANGE:** Involves introducing new software or system to improve business processes.
- **UNPLANNED CHANGE:** A necessary action following unexpected events.
- **REMEDIAL CHANGE:** Occurs when a problem is identified, and a solution needs to be implemented.
- **Risk and Loss Aversion:** Factors driving individual resistance where people focus on what they might lose (status, habit, comfort) rather than what they will gain.
- **Calm Waters Metaphor:** Describes an environment where change is an occasional disruption in a stable, established system (e.g., manufacturing). These organizations have standard operating procedures (SOPs) and can use planned, structured approaches (like Kurt Lewin's model) to manage transition.
- **Whitewater Rapids Metaphor:** Describes an environment where change is constant and unpredictable (e.g., tech startups). These organizations must foster a culture of continuous adaptation to navigate frequent disruptions in technology, personnel, and market position.

### Kurt Lewin's Model Phases:

- **Unfreezing:** Identifying the specific area of change (people, tech, etc.), securing management support, communicating the "why" (creating the need), and addressing/managing employee doubts and fears.
- **Changing:** The implementation phase involving multi-channel communication (emails, posters), dispelling rumors, and empowering change catalysts to advocate for the new ways.
- **Refreezing:** Anchoring the change into the culture so it becomes the "new normal" (e.g., training on new software, updating reporting lines, institutionalizing new habits).

**Action Research:** A change management strategy involving the systemic collection of data to determine specific actions.

- **Role of Consultant:** Typically an outside consultant is hired to conduct the analysis (interviews, records, etc.) and formulate the diagnosis and action plan.
- **Role of Change Agents:** Internal "change agents" (same as catalysts) assist in providing feedback to the employees regarding the plan.
- **Organizational Development (OD):** Techniques or programs that enterprises take up to change people and the nature and quality of interpersonal work relationships.
- **Sensitivity Training:** An OD technique where members are brought together in an open, free environment and learn through observing and participating (e.g., via games, case studies, or simulations) rather than being directly instructed.
- **Process Consultation:** An OD technique where an external consultant identifies and explains how to improve specific areas or solve problems.
- **Intergroup Development:** Training sessions that resemble diversity training, focusing on differences between departments or divisions to improve communication and empathy regarding shared challenges and interdependencies.
- **Appreciative Inquiry:** A method featuring "Discovery, Dreaming, and Design." It involves a large group meeting (usually over 2-3 days) in an unconventional setting overseen by a trained agent to identify what is working and what is blocking progress.

### Innovation Variables:

- **Structural Variables:** Organic structure, abundant resources, cross-unit communication, and minimal time pressure.
- **HR Variables:** High commitment to training/development, job security, and hiring creative individuals.
- **Cultural Variables:** Acceptance of ambiguity, tolerance of "weird" ideas, lower external controls, tolerance of risk, and tolerance of conflict (focus on end product over process).
- **System Variables:** Open system, positive feedback.

## Worked Examples

- **Amazon's 6-Pager Ritual:** Instead of PowerPoint presentations, Amazon uses a 6-pager format for all meetings. This ritual is designed to force employees to be concise and to provide a structured framework for presenting ideas and discussing conflicts.

### Enron & Satyam Cases (Risk of Weak Values):

- **Enron:** A case where "Integrity" was not valued. The lack of cultural integrity led to a situation where lying to shareholders and the public was accepted for the sake of profit.
- **Satyam:** A case where the organization was "rushing" toward short-term profits to increase stock prices, rather than prioritizing long-term benefits. These were "invisible" failures of culture.
- **Strong vs. Weak Culture Comparison:**

| Attribute     | Strong Culture       | Weak Culture                                          |
|---------------|----------------------|-------------------------------------------------------|
| Values Shared | Values widely shared | Values limited to a few people—usually top management |

|                                                                                                                                                                                                                                                                                             |                                                              |                                                              |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|--------------------------------------------------------------|
| <b>Consistency</b>                                                                                                                                                                                                                                                                          | Culture conveys consistent messages about what's important   | Culture sends contradictory messages about what's important  |
| <b>History and Heroes</b>                                                                                                                                                                                                                                                                   | Most employees can tell stories about company history/heroes | Employees have little knowledge of company history or heroes |
| <b>Employee Identification</b>                                                                                                                                                                                                                                                              | Employees strongly identify with culture                     | Employees have little identification with culture            |
| - <b>Tata Case (Trust as Stability Factor):</b> During the COVID-19 pandemic, even when certain units were unable to raise salary levels, employees remained committed because of the trust and culture already woven into the organization.                                                |                                                              |                                                              |
| - <b>GE Case (Process as Culture):</b> GE Capital ingrained Six Sigma and Lean methodologies into the culture. This was not just a tool, but a cultural habit of finding better ways, reducing time, and saving costs on a daily basis.                                                     |                                                              |                                                              |
| - <b>Schneider Electric (Collaborative Competition):</b> This organization shares "best practices" with direct competitors. Because both companies face the same market-based hurdles (e.g., in finance or marketing), they collaborate on finding workable solutions to shared challenges. |                                                              |                                                              |
| - <b>Oil &amp; Gas Safety Rituals:</b> Safety is made a "habit of the mind" through consistent enforcement of rules (e.g., holding railings, no phones on stairs). This ensures safety is an automatic, internalized behavior rather than an occasional thought.                            |                                                              |                                                              |
| - <b>The Catalyst Strategy:</b> In a planned change scenario, an organization identifies "Change Catalysts" (internal or external).                                                                                                                                                         |                                                              |                                                              |
| - <b>Logic:</b> They are "planted" in teams to overcome the "human" side of change. They are tasked with negotiation and communication to convince those who are resistant.                                                                                                                 |                                                              |                                                              |
| - <b>Scenario Analysis: Planned vs. Unplanned:</b>                                                                                                                                                                                                                                          |                                                              |                                                              |
| - <b>Planned:</b> Goal-oriented (e.g., Steve Jobs removing general managers to prioritize innovation). Here, there is time to "plant" catalysts and use a structured transition.                                                                                                            |                                                              |                                                              |
| - <b>Unplanned:</b> Reactive (e.g., a cyber-security attack). There is no "luxury of time" to "plant" catalysts; leadership must create immediate urgency and use systematic response protocols.                                                                                            |                                                              |                                                              |
| - <b>Action Research Methodology Step-by-Step:</b>                                                                                                                                                                                                                                          |                                                              |                                                              |
| 1. <b>Data Collection:</b> Systemic collection of data (e.g., staff density in departments).                                                                                                                                                                                                |                                                              |                                                              |

|                                                                                                                                                     |  |  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|--|--|
| 2. <b>Analysis (Consultant):</b> External consultant conducts interviews, reviews records, and faces employees face-to-face.                        |  |  |
| 3. <b>Diagnosis (Consultant):</b> Identify root causes (e.g., "why is the team overcrowded?").                                                      |  |  |
| 4. <b>Selection of Actions:</b> Consultant determines necessary changes based on diagnosis.                                                         |  |  |
| 5. <b>Feedback (Change Agents):</b> Results/plans are communicated to staff via change agents/catalysts.                                            |  |  |
| 6. <b>Implementation:</b> Actions are carried out.                                                                                                  |  |  |
| 7. <b>Evaluation:</b> Results are measured against the initial data collected in Step 1.                                                            |  |  |
| - <b>Intuit Case (7S Framework Implementation):</b>                                                                                                 |  |  |
| - <b>Context:</b> Steve Bennett (ex-GE) became CEO in 2000. Faced slow decision-making and weak internal processes despite high product enthusiasm. |  |  |
| - <b>Strategy:</b> Followed McKinsey's 7S Model to align internal processes with growth goals.                                                      |  |  |
| - <b>The 7 Elements:</b>                                                                                                                            |  |  |
| - <b>Structure:</b> Moved to a flatter, decentralized model to give business units more authority/accountiness.                                     |  |  |
| - <b>Systems:</b> Rewards were aligned to strategy goals.                                                                                           |  |  |
| - <b>Style:</b> Shifted to a performance-oriented focus with a clear vision.                                                                        |  |  |
| - <b>Staff:</b> Focused on quality and efficiency; recruited managers from GE.                                                                      |  |  |
| - <b>Skills:</b> Resources allocated for learning; reinforced skills of the existing team.                                                          |  |  |
| - <b>Strategy:</b> Vision-driven and clearly communicated.                                                                                          |  |  |
| - <b>Shared Values:</b> (The core) All elements tied together at the center.                                                                        |  |  |
| - <b>Result:</b> 40-50% increase in operating profits over 2-3 years.                                                                               |  |  |
| - <b>Preparation for Change Logic:</b> To mitigate the fear of change and reduce attrition, management should:                                      |  |  |
| 1. <b>Constant Preparation:</b> Prepare staff mentally for upcoming transitions.                                                                    |  |  |

|                                                                                                                                                                          |  |  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|
| 2. <b>Concrete Benefits:</b> Instead of just "moving" a person, highlight the expansion of scope (e.g., "You will now manage 8 people instead of 4").                    |  |  |
| 3. <b>Success Stories:</b> Share historical success stories of others who successfully navigated similar transitions to build a positive mental association with change. |  |  |
| - <b>Barclays Case:</b> (Note: A specific detailed case study on the "change at Barclays" is provided in the supplemental materials).                                    |  |  |

## Formulas & Rules

- **The Founder Rule:** The ultimate study of an organization's culture is primarily its founders. This is especially potent in newer/smaller organizations.
- **The "Wavelength" Rule:** Hiring must prioritize "cultural fit"—the alignment of a candidate's personal belief system and "wavelength" with the organization's values to ensure harmony and avoid conflict.
- **The Growth Rule:** For a company to survive, it must view change as an **opportunity** rather than a hurdle. If it fails to see it as an opportunity, it will struggle to survive technological, organizational, or marketing shifts.
- **The Catalyst Rule:** For planned changes, identify and "plant" individuals skilled in negotiation and communication to act as change catalysts to bridge the gap between management goals and employee resistance.
- **The Preparation Rule:** To reduce the "fear" of change, manage it through continuous preparation, highlighting concrete personal benefits (scope, visibility), and sharing success stories of previous transitions.

## Tricky Logic & Traps

- **Result vs. Process Logic:** A key distinction is whether a company values "Result Orientation" (the outcome is all that matters) or "Process Orientation" (following specific SOPs). Students must identify which one a specific organization prioritizes to determine if the "wavelength" of an employee matches the culture.
- **The "Invisible" Trap:** Just because a cultural failure (like lack of ethics or safety) isn't visible in the day-to-day "tangible" aspects (like dress code or office decor) doesn't mean it isn't part of the culture. Issues like the Enron or Satyam scans were "hidden" until they culminated in disaster.
- **Policy vs. Practice:** The "invisible" factors of culture (like flexibility or discipline) may differ between what is written in a policy document and what actually happens in the workplace.
- **Symbol Interpretation:** Symbols are not just "items" but "gestures." For example, having ramps or disabled-friendly toilets is a "symbol" of a culture that suggests an organization values inclusion.
- **Socialization vs. Assumption:** New employees adapt through "Socialization" (training/coaching), but the core of the culture remains rooted in the "Assumptions and Beliefs" that were originally planted by the founders.
- **Whistleblower Logic:** Protection for whistleblowers is not just an HR policy; it is a communication tool. It sends a clear message to the rest of the staff about what behaviors are tolerated and what are not.
- **Sense-making & Stability:** During chaos or rapid change, culture acts as a stabilizer. It provides "sense\_making," helping employees understand their identity and role even when the environment is unstable.
- **Predictable vs. Unpredictable Change:** Not all changes are sudden shocks. Students should note that while change creates uncertainty, many changes (techned\_logical, structural, etc.) are predictable

and planned.

- **Competitor Collaboration:** It is not counter-intuitive for competitors to share "best practices." If the market challenges are identical, sharing a solution is a logical way to bypass common hurdles.  
**Selection of Management Model:** A critical logic check is whether the organization is "Calm Waters" or "Whitewater Rapids."
  - **Trap:** Applying Kurt Lewin's model to a "Whitewater" environment (like a high-growth startup).
  - **Correct Logic:** Kurt Lewin's model is specifically suited for "Calm Waters" because it assumes a planned, stable environment where time exists to "unfreeze" and "refreeze" behaviors.
- **Catalyst Availability:** The availability of "Change Catalysts" is a differentiator between planned and unplanned changes. In unplanned events (e.g., cyber-attacks), there is no luxury of time to "grow and plant" these individuals; the response must be immediate.
- **Individual vs. Organizational Resistance:** Students must distinguish between **Individual** resistance (habits, fear of loss, personal risk aversion) and **Organizational** resistance (structural inertia, threat to established expertise, or shifts in power equations).
- **The "Instruction" Trap:** In **Sensitivity Training**, the goal is for participants to learn through **observation and participation** in a free environment. It is a trap to treat it like a standard "training meeting" where people are told what to do.
- **Innovation Pre-requisites:** To foster innovation, an organization must be willing to tolerate "messy" variables. If an organization demands objective, certain answers or has a low tolerance for risk and conflict, it will fail to generate innovative outcomes.
- **Common Topic vs. Plagiarism:** A common problem (e.g., the impact of AI) is NOT a reason to worry about plagiarism. Plagiarism is only "exactly copied" content. Different students can tackle the same topic (e.g., AI) as long as the content is original.
- **Confidentiality & Identification Logic:** If a student uses a real-life scenario but is concerned about privacy, they can use a placeholder (e.g., "Company ABC") with a note stating it is a real organization. However, if the company is a public firm and the info is in the public domain (e.g., regulatory filings), the name can be used directly.
- **Out-of-Scope Models:** The **ADKAR** model is not part of the current syllabus/textbook. Students should avoid looking for it in the core material, though it is a recognized model in the industry.

## Exam Pointers

---

- **Identifying Culture Strength:** If a question asks whether a culture is "strong" or "weak," look for evidence of **Consistency** and **Shared Knowledge**. If employees don't know the company's history or "heroes," the culture is weak.
- **Selection Criteria:** When analyzing a hiring scenario, look for "Cultural Fit." A high-performer whose values do not align with the "wavelength" of the company will lead to conflict.
- **Evaluating Ethics:** To determine if an organization successfully integrates ethics, check for "Role Models" in management and "Protective Measures" for whistleblowers.
- **Survival Analysis:** When assessing why an organization must change, the core logic is "survival." Change is the norm; failure to see it as an "opportunity" leads to failure in the face of competition or technological shifts.
- **Determining the Management Strategy:** If the question describes a stable, established company (e.g., a car manufacturer), use the **Calm Waters** logic and **Kurt Lewin's Model**. If it describes a volatile, high-tech environment, use the **Whitewater Rapids** logic (focusing on agility and constant adaptation).
- **Identifying Resistance Source:** If a manager's concern is about "current employees refusing to change because they fear losing their current role," this is an **Individual** source (Fear/Risk Aversion). If the concern is that "the existing IT system is so integrated that it's hard to swap," this is an **Organizational** source (Structural Inertia).
- **Action Research Identification:** If a scenario involves a consultant coming in specifically to **collect data** and **diagnose** a specific internal problem (like departmental over-crowding) to then create a

report, use the **Action Research** model.

- **OD Technique selection:** If the scenario involves "feeling out" the team's interpersonal relationships or using "games/simulations" for participation rather than instruction, select **Sensitivity Training**. If the focus is on cross-departmental cooperation, select **Intergroup Development**.
- **Addressing "Common Topics" (e.g., AI):** If a question involves a common tech topic, the logic is that the specific topic is not a "suitability" risk for the exam; the value lies in how the student applies the course's specific change management concepts to that topic.

## Sources

---

- MBAZG511 Lecture 13.pptx
- MBA ZG511 Lecture 14.pptx
- MBAZG511 - Lecture 12.pptx
- MBAZG511\_Managing People and Organization - Lectures 10-16 (2).pdf
- MBAZG511\_Managing People and Organization - Lectures 10-16.pdf
- [shot\_00-17-04.png]
- [shot\_00-17-53.png]
- [shot\_00-21-07.png]
- [shot\_00-25-10.png]
- [shot\_00-40-02.png]
- [shot\_00-42-41.png]
- [shot\_00-43-55.png]
- [shot\_00-51-03.png]
- [shot\_01-00-43.png]
- [shot\_01-04-17.png]
- [shot\_01-07-19.png]
- [shot\_01-09-33.png]
- [shot\_01-13-54.png]
- [shot\_01-18-29.png]
- [shot\_01-22-23.png]
- [shot\_01-25-54.png]
- [shot\_01-33-33.png]
- [shot\_01-34-43.png]
- [shot\_01-38-45.png]
- [shot\_01-39-39.png]
- [shot\_01-41-55.png]
- [shot\_01-43-28.png]
- [shot\_01-44-29.png]
- [shot\_01-45-19.png]